(IX)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH – I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation of*

CP/221/CAA/2020 IN CA(CAA)/1315/2019

Vishwatej Developers Limited
CIN:- U70101TN2007PTC070817
Trimex Towers,
No.1, Subbaraya Avenue, CP Ramaswamy Road
Alwarpet, Chennai – 600 018

... Petitioner/ Transferee Company

Along With

CP/222/CAA/2020 IN CA(CAA)/1316/2019

Kochi Township Private Limited
CIN:- U45200TN2008PTC066986
No.1, Subbaraya Avenue, CP Ramaswamy Road
Alwarpet, Chennai – 600 018

... Petitioner/ 1st Transferor Company

Along With

CP/223/CAA/2020 IN CA(CAA)/1317/2019

Hosur Township Private Limited
CIN:- U45400TN2008PTC068423
No.1, Subbaraya Avenue, CP Ramaswamy Road
Alwarpet, Chennai – 600 018

... Petitioner/ 2nd Transferor Company

Along With

CP/224/CAA/2020 IN CA(CAA)/1318/2019

Vishwatej Builders Private Limited
CIN:- U45201TZ2007PTC013843
126, Arts College Road,
Coimbatore – 641 018

... Petitioner/ 3rdTransferor Company

Order Pronounced on 6th April 2022

CORAM:
R SUCHARITHA, MEMBER (Judicial)
SAMEER KAKAR, MEMBER (Technical)

For Petitioner : *P.H.Arvindh Pandian, Senior Advocate*
Pawan Jhabhak, Advocate

COMMON ORDER

Per:R. SUCHARITHA, MEMBER (Judicial)

Under consideration are Company Petition Nos. CP/ 221 to 224 / CAA / 2020 filed under sections 230 to 232 of the Companies Act,2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the NCLT, Rules, 2016. By way of the instant Petition the parties propose to enter into a Scheme of Amalgamation and Arrangement (Capital Reduction) in two parts as mentioned below;

- Cancellation and reduction of 10,26,01,832 (Ten Crores Twenty – Six Lakhs One Thousand Eight Hundred and Thirty – Two) equity shares of INR 10/- each of the Transferee Company and the consideration for reduction in share capital shall be paid by setting off outstanding amount of INR 102,60,18,320 that needs to be repaid by the Shareholders of the Transferee Company, Hexa Industries Private Limited.

- Amalgamation of Transferor Company – 1, 2 and 3 into and with the Transferee Company.

2. The Petitioner/ 1stTransferor Company, is a Private Limited Company, incorporated on 25.03.2008, under the provisions of the Companies Act, 1956, having its registered office at No.1, Subbaraya Avenue, CP Ramaswamy Road, Alwarpet, Chennai – 600 018, Tamil Nadu.

3. The Petitioner/ 2ndTransferor Company, is a Private Limited Company, incorporated on 01.07.2008, under the provisions of the Companies Act, 1956, having its registered office at No.1, Subbaraya Avenue, CP Ramaswamy Road, Alwarpet, Chennai – 600 018, Tamil Nadu.

4. The Petitioner/ 3rd Transferor Company, is a Private Limited Company, incorporated on 06.07.2007, under the provisions of the Companies Act, 1956, having its registered office at 126, Arts College Road, Coimbatore – 641 018, Tamil Nadu.

5. The Petitioner/ Transferee Company, is a Private Limited Company, incorporated on 08.10.2007, under the provisions of the Companies Act, 1956, having its registered office at Trimex Towers, No.1, Subbaraya Avenue, CP Ramaswamy Road, Alwarpet, Chennai – 600018, Tamil Nadu.

6. 1ST MOTION APPLICATION – IN BRIEF

6.1. This Tribunal vide its Order dated 16.12.2019 in passed inCA/1315 – 1318/CAA/2019, had ordered for dispensation of the meetings of the equity shareholders / Unsecured Creditors of the Transferor Company – 1, 2 and 3 and the Transferee Company. Further, it was submitted that the Transferor Company – 1, 2, and 3 and the Transferee Company has no secured creditors. Subsequent to the said order, the Petitioner Company has filed the present Petition before this Tribunal on 24.12.2019 for sanction of the Scheme of Amalgamation by this Tribunal.

7. RATIONALE OF THE SCHEME

7.1. The Rationale and benefits of the Scheme as submitted by the Learned Senior Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a. In order to re-align the relation between capital and assets; and to accurately and fairly reflect the assets and liabilities of the Transferee Company in its books of accounts, it is being proposed to reduce and cancel 10,26,01,832 shares (Ten Crores Twenty Six Lakhs One Thousand Eight Hundred and Thirty Two) INR 10/- each at a face value of INR 10/- per share and the consideration on account of reduction in share capital shall be paid by setting off the outstanding amount of INR 10,60,18,320 that needs to be repaid by the Shareholder of the Transferee Company.

b. The Capital reduction does not involve any financial outlay / outgo and therefore, would not affect the ability or liquidity of the Transferee Company to meet its obligations / commitments in the normal course of business.

c. The amalgamation would enable the consolidation of the business of the Transferor Companies into the Transferee Company which would facilitate focused growth, operational efficiency, business synergy, better supervision of business and more productive utilization of resources. The Transferor Companies and the Transferor Company are operating in similar line of business and can be conveniently combined for mutual benefit.

d. The amalgamation will enable pooling of resources of the Transferor Companies with the resources of the Transferee Company to their advantage, resulting in more productive utilization of said resources, and cost and operational efficiency which would be beneficial to all stakeholders.

e. Since the Transferor Companies are the wholly owned subsidiaries of the Transferee Company, there is no likelihood that the interest of the shareholder of the Transferee Company would be prejudiced as a result of the Scheme. Further, there is no likelihood that the interest of any creditors of either the Transferor Companies of the Transferee Company would be prejudiced as a result of the Scheme. The amalgamation of the Transferor Companies into and with the Transferee Company will not impose any additional burden on the members of the Transferor Companies or the Transferee Company. The Scheme is nor in any manner prejudicial or against public interest and would serve the interest of all shareholders, creditors and stakeholders.

8. Pursuant to the Order dated 16.12.2019 passed in CA/1315 – 1318/CAA/2019, the second motion Petition was filed before this Tribunal on 24.12.2019, in which this Tribunal vide order dated 23.11.2020 the Petitioner Company has issued notice to the following Statutory Authorities viz. (i) Official Liquidator (ii) Regional Director (Southern Region); (iii) ROC, Chennai and (iv) Income Tax Department on 26.02.2021.

9. In compliance with the said directions issued by this Tribunal, the Authorised Representative of the Petitioner Companies had filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected paper publications as directed by the Tribunal in "Business Standard" (Chennai Edition) in English and "Makkal Kural" (Chennai Edition) in Tamil on 4ndDecember 2020. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on 4th December 2020, (ii) Registrar of Companies Chennai on 4th December 2020, (iii) Income Tax Department on 4th December 2020, (iv) Official Liquidator on 4th December 2020 and the proof of the same by way of affidavits have been enclosed with the typed set filed along with the Petition. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

10. STATUTORY AUTHORITIES

10.1. REGIONAL DIRECTOR

10.1.1.The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal and has stated that Para 17 of Part IV of the Scheme provides for the protection of the interest of the employees of the Transferor Companies. Further, it is submitted that there are no complaints/prosecution/inspection/investigation pending against the Transferor Company.

Thus, after examining the Scheme, the Regional Director in para 11 of its Report has stated that they have decided not to make any objection to the Scheme.

10.2. OFFICIAL LIQUIDATOR

The office of the Official Liquidator (For short, 'OL') has filed its report dated 07.01.2021, wherein based on the report of the independent auditor (appointed by the office OL)had observed as follows;

- The Transferor Companies had not accepted any deposits from the public. Hence, the Transferor Companies complying with the

Directions of the Reserve Bank of India relating to deposits does not arise.

- The Transferor Companies have no unpaid or unclaimed dividends and hence the question of commenting on compliance of Section 124 of the Companies Act, 2013 does not arise.

- The Transferor Company – 1 had a debit balance consisting of sand filing expenses of the land owned by holding / group companies. The amount of debit balance was Rs.5,25,00,000/-. This amount was written off in the year 2017 – 2018 which has been reported in the audited financial statements.

- The Chartered Accountants are of the opinion that there are no acts of misfeasance by directors which would attract provisions of section 339/340 of the Companies Act, 2013.

- Since the Transferor Companies is wholly owned subsidiary of the Transferee Company, upon scheme being sanctioned by the Hon'ble NCLT, Chennai Bench and having been effected as provided herein above, all the equity shares, held by the Transferee Company and its nominees in the Transferor Companies, shall be cancelled

and extinguished. Hence the question of exchange ratio and consequent valuation of shares does not arise.

10.3. From the above observations made by M/s. S.D. Raj Associates, the Official Liquidator sought to take on record and consider the report of the appointed Chartered Accountant firm and has also sought to fix the remuneration payable to the Chartered Accountant firm who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of **Rs.50,000 (Rupees Fifty thousand Only)** to the Official Liquidator for the payment of fees payable towards the appointed Chartered Accountant firm who has investigated into the affairs of the Transferor Company.

10.4. OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that other statutory Department viz. The Income Tax Department does not have any objection to the sanction of the Scheme

11. ACCOUNTING TREATMENT

The Learned Senior Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies has complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of each Petitioner Companies is annexed along with the typed set filed with each Petition.

12. OBSERVATIONS OF THIS TRIBUNAL

12.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Amalgamation commonly appended as "Annexure A4" along with CP/221-224/CAA/2020.

12.2. The Learned Senior Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

12.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

12.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

13. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That the Equity Share capital of the Transferee Company shall be reduced from 31,71,61,093 equity shares of Rs.10/- each to 21,45,59,261 equity shares of Rs.10/- each.

(ii) The cancelled share of 10,26,01,832 equity shares of Rs.10/- each shall stand cancelled on payment of consideration by way of setting off the loans in the books of the Company amounting to INR 102,60,18,320 which are liable to be repaid by to the Shareholder of the Company.

(iii) That the sanction of the scheme resulting in the reduction of the share capital of the Resulting Company as above shall be in accordance with the provisions of Section 230 of the Companies Act, 2013 without any further application, act or deed required by the Resulting Company or its shareholders.

(iv) That all properties, right and interest of the Transferor Companies shall pursuant to section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company as per the terms of the Scheme of Amalgamation.

(v) That all the liabilities, powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company

and accordingly the same become the liabilities and duties of the Transferee Company.

(vi) That all proceedings now pending by or against the Transferor Companiesbe continued by or against the Transferee Company.

(vii) That all the employees of the Transferor Companies in service on date immediately preceding the date on which the Scheme finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.

(viii) That the Appointed date for the Scheme shall be **1st April 2019**.

(ix) Since the Transferor Companies are wholly owned subsidiary of the Transferee Company, there shall be no issue of shares as consideration for the amalgamation of the Transferor Companies with the Transferee Company.

(x) That the Transferee Companies shall file the revised Memorandum and Articles of Association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(xi) That the Transferor Companies and the Transferee Company, shall within thirty days of the date of the

receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company and registered with him on the file kept by him in relation to all the Transferee Company and the files relating to the said both companies shall be consolidated accordingly.

(xii) That any person interest shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

14. Accordingly, the Company Petition CP/221-224/CAA/2020 stand **allowed** on the aforementioned terms.

-Sd-
SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-
R. SUCHARITHA
MEMBER (JUDICIAL)

Raymond